

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

CHAPTER 7

LOAN MONITORING, DELINQUENCY MANAGEMENT & COLLECTIONS POLICY

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POLICY SUPREMACY NOTICE: This Chapter forms an integral and enforceable component of the Stratum Capital Bank Enterprise Governance & Risk Framework (SCB-EGRF). In the event of any conflict between this Chapter and any business-line procedure, local operating guideline, product programme document, or third-party service arrangement, the provisions of this Chapter shall prevail in all cases unless a formal Policy Exception has been approved pursuant to Section 7.19. This Chapter must be read in conjunction with Chapter 5 (Loan Policy Manual & Credit Decision Framework), Chapter 6 (Operational Risk Management Framework), Chapter 3 (Risk Appetite & Tolerance Framework), and Chapter 1 (Governance Architecture). No provision of this Chapter shall be construed as limiting the Bank's obligations under applicable law or binding regulatory direction.

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7.1 Purpose, Scope, and Policy Authority

7.1.1 Purpose

This Chapter establishes the mandatory framework governing all post-disbursement loan management activities of Stratum Capital Bank ("the Bank"), including loan monitoring, early warning detection, payment and arrears management, delinquency classification, customer communication, hardship assistance, loan restructuring, collections, legal recovery, write-off, post-write-off recovery, and portfolio oversight. The Chapter further sets the governance standards applicable to the use of data analytics and artificial intelligence tools in support of these activities.

The policies set out herein are designed to: (i) protect the credit quality of the Bank's loan portfolio through proactive and systematic monitoring; (ii) ensure the early identification of borrowers experiencing or at risk of financial difficulty; (iii) establish fair, consistent, and legally compliant processes for managing delinquent accounts and engaging with customers in hardship; (iv) maximise recoveries from impaired and written-off assets while complying with all applicable law and regulatory obligation; (v) support accurate and compliant provisioning and impairment measurement under IFRS 9; and (vi) provide a governance structure that is auditable, enforceable, and aligned with the Board's approved risk appetite.

This Chapter complements and extends the credit origination and underwriting standards established in Chapter 5 of this Framework. Whereas Chapter 5 governs the decision to extend credit, this Chapter governs all obligations arising after credit has been disbursed. Together, these Chapters constitute the Bank's end-to-end credit management policy.

7.1.2 Scope of Application

This Chapter applies, without exception or qualification, to all of the following:

- (i) All loan products originated or held by the Bank, including term loans, revolving credit facilities, overdraft facilities, trade finance exposures, mortgage loans, consumer instalment loans, commercial real estate loans, project finance facilities, and any other product generating a credit exposure subject to a repayment schedule or repayment obligation;
- (ii) All employees of the Bank who have any role in post-disbursement credit management, including but not limited to Loan Officers, Credit Analysts, Collections Officers, Relationship Managers, Credit Managers, the Chief Credit Officer, Compliance personnel, Risk Management personnel, Finance personnel, Legal counsel, and Internal Audit;
- (iii) All subsidiaries, branches, and representative offices of the Bank, subject to the jurisdictional variance provision in Section 7.1.3;
- (iv) All third-party service providers engaged to perform any collections, recovery, tracing, or debt management activity on behalf of the Bank; and
- (v) All technology systems, artificial intelligence models, and automated processes used in loan monitoring, early warning, collections, or related functions.

7.1.3 Jurisdictional Application

Where applicable law or binding regulatory direction in a specific jurisdiction imposes requirements that are more stringent than those set forth in this Chapter, the more stringent standard shall apply. Where local requirements are less stringent, the provisions of this Chapter shall apply without modification. Any jurisdictional variance from this Chapter requires prior written approval from the Chief Credit Officer and notification to the Board Risk & Compliance Committee. Approved jurisdictional variances shall be maintained in the Policy Exception Register pursuant to Section 7.19.

7.1.4 Policy Authority and Hierarchy

This Chapter is a Tier 1 Policy instrument issued under the authority of the Board of Directors of Stratum Capital Bank, consistent with the Policy Hierarchy established in Chapter 1 of this Framework. Ownership of this Chapter is vested in the Chief Credit Officer, who is accountable to the Board Risk & Compliance Committee for its maintenance, implementation, and enforcement. Co-ownership is held by the Head of Collections & Recoveries in respect of Sections 7.11 through 7.15. Delegations from the Chief Credit Officer to subordinate officers for specific implementation responsibilities do not transfer accountability.

7.2 Definitions and Interpretive Guidance

The following definitions apply throughout this Chapter. Where a term has been defined in Chapter 5 of this Framework, that definition applies to cross-referenced provisions of this Chapter unless a specific and more restrictive definition is provided below.

Days Past Due (DPD)	The number of calendar days elapsed since the contractually scheduled payment date on which a payment obligation remains wholly or partially unsatisfied. DPD is calculated from the first missed payment date and is not reset by partial payments that do not bring the account fully current.
Delinquency	The condition of an account in which one or more scheduled payment obligations have not been met on the contractually required date. Delinquency is categorised into buckets by DPD as defined in Section 7.7 and Appendix A.
Non-Performing Loan (NPL)	A loan or credit facility in which the borrower is 90 days or more past due on any material credit obligation to the Bank, or in respect of which the Bank considers, on the basis of objective evidence, that full repayment is unlikely without recourse to collateral. NPL classification is governed by Section 7.7.3 and is consistent with EBA NPL guidance and BCBS standards.
Early Warning Indicator (EWI)	A quantitative or qualitative signal derived from borrower behaviour, financial data, market data, or external information that indicates a deterioration in a borrower's credit condition or an increased probability of default, prior to the occurrence of missed payments.
Watch List	A formal register of borrowers who have been identified as presenting elevated credit risk through the Early Warning Indicator system or through direct assessment by a Loan Officer or Credit Analyst, and who require enhanced monitoring above the standard portfolio monitoring frequency.
Forbearance	A concession granted by the Bank to a borrower who is experiencing or at imminent risk of experiencing financial difficulty, which would not otherwise be considered under the standard terms of the loan agreement. Forbearance includes payment deferrals, interest-only periods, term extensions, interest rate reductions, and principal forgiveness, as defined in Section 7.10.
Restructured Loan	A loan in respect of which the Bank has agreed to modify the original contractual terms as a result of the borrower's actual or anticipated financial difficulty, including any loan subject to a forbearance arrangement. Restructured loans remain subject to enhanced monitoring requirements under Section 7.10.5 and must be classified in accordance with EBA guidelines and applicable IFRS 9 guidance.
Forborne Exposure	An exposure that has been subject to forbearance measures as defined above. Forborne status is maintained for a minimum cure period as specified in Section 7.10.6, regardless of subsequent payment performance.

Cure	The condition in which a previously delinquent, watch-listed, or forbore borrower has demonstrated sustained improvement in financial condition and payment behaviour sufficient to warrant reclassification to a lower risk category, subject to the cure period requirements of this Chapter.
Collections	The structured process of contacting, engaging, and pursuing borrowers who are delinquent on their payment obligations, with the objective of recovering overdue amounts, bringing accounts current, or, where full recovery is not achievable, maximising recovery of outstanding principal and accrued interest through structured repayment or other recovery actions.
Recoveries	Amounts received by the Bank in respect of previously written-off loans or in excess of the impaired carrying value, whether through ongoing collections activities, legal enforcement, realisation of collateral, or sale of the debt obligation.
Write-Off	The derecognition of all or part of a loan's carrying amount from the Bank's balance sheet when the Bank has exhausted all reasonable recovery options and has determined that the asset is not recoverable. A write-off is an accounting action and does not extinguish the legal debt obligation unless accompanied by a formal legal release or statute-of-limitations expiry.
Provision / Impairment Allowance	The amount recognised in accordance with IFRS 9 as an expected credit loss (ECL) against a loan exposure, representing the Bank's estimate of the present value of cash flows expected to be lost over the life of the exposure, weighted by probability of default and calculated on an individual or collective basis as specified in Section 7.13.
Stage 1 / Stage 2 / Stage 3	The IFRS 9 impairment stages applicable to financial instruments. Stage 1: performing; 12-month ECL applied. Stage 2: significant increase in credit risk since origination; lifetime ECL applied. Stage 3: credit-impaired; lifetime ECL applied, interest revenue recognised on net carrying amount only.
Hardship Assistance	Formal support arrangements offered by the Bank to borrowers who are unable to meet their contracted payment obligations due to genuine and demonstrable financial hardship, including income disruption, illness, bereavement, natural disaster, or other circumstances beyond the borrower's reasonable control, as governed by Section 7.9.
Third-Party Collections Agent (TPCA)	An entity external to the Bank engaged under a formal contractual arrangement to perform collections, debt recovery, tracing, or field visit activities on behalf of the Bank, subject to the third-party governance requirements of Chapter 6, Section 6.9, and the additional requirements of Section 7.11.6 of this Chapter.
Portfolio at Risk (PAR)	The outstanding gross principal balance of all loans in a specified delinquency bucket or above, expressed as a percentage of total gross loan portfolio, calculated as a primary portfolio health metric under Section 7.16.
Loss Given Default (LGD)	The estimated proportion of exposure at default that the Bank expects to lose in the event of borrower default, after taking account of collateral, guarantees, and expected recovery proceeds, net of direct and indirect costs of recovery.

7.3 Governance Structure and Accountability

7.3.1 Governance Principles

The governance of post-disbursement loan management at Stratum Capital Bank is structured in accordance with the Three Lines of Defence model established in Chapter 1 and elaborated for operational risk purposes in Chapter 6. Accountability for loan monitoring, delinquency management, and collections is distributed across the first, second, and third lines, and is not vested exclusively in any single function. Every material decision in the post-disbursement loan lifecycle must be made by a named, qualified individual with documented authority, supported by documented evidence, and subject to independent review.

7.3.2 Board Risk & Compliance Committee

The Board Risk & Compliance Committee (BRCC) bears ultimate Board-level oversight responsibility for the Bank's credit quality, provisioning adequacy, collections performance, and write-off decisions. The BRCC's specific accountabilities in respect of this Chapter include:

- (vi) Approving this Chapter and all material amendments thereto on recommendation from the Chief Credit Officer and the Chief Risk Officer;
- (vii) Reviewing and approving the Bank's portfolio delinquency, NPL, and provisioning performance on a quarterly basis;
- (viii) Approving individual write-off decisions exceeding the thresholds specified in Section 7.14.3;
- (ix) Overseeing the adequacy and appropriateness of the Bank's hardship assistance and forbearance programmes;
- (x) Receiving an annual independent assurance report from Internal Audit on compliance with this Chapter; and
- (xi) Approving the Bank's portfolio risk appetite metrics and thresholds related to arrears, NPLs, and provisioning coverage, in conjunction with Chapter 3.

7.3.3 Executive Credit Committee

The Executive Credit Committee (ECC), chaired by the Chief Credit Officer and including the Head of Collections & Recoveries, the Chief Risk Officer, the Chief Financial Officer, and business line credit heads, has executive management accountability for credit portfolio quality and post-disbursement performance. The ECC shall meet monthly and shall:

- (xii) Review the Watch List in full and approve additions, upgrades, and removals;
- (xiii) Review and approve all restructuring arrangements above the delegation thresholds in Section 7.10.3;
- (xiv) Review individual NPL accounts above designated thresholds and approve or endorse recovery strategies;
- (xv) Approve write-off recommendations within delegated authority levels;

- (xvi) Review portfolio delinquency trends, Early Warning Indicator alerts, and collections performance metrics; and
- (xvii) Direct remedial action where portfolio performance exceeds risk appetite thresholds.

7.3.4 Chief Credit Officer

The Chief Credit Officer (CCO) holds primary executive ownership of this Chapter and is the senior decision-making authority for all credit management matters below the BRCC approval threshold. The CCO is accountable for the design, maintenance, and enforcement of this Chapter; the adequacy of the Bank's delinquency, collections, and recovery frameworks; the completeness and accuracy of provisioning; and the quality and integrity of credit management information reported to the ECC and BRCC.

7.3.5 Head of Collections & Recoveries

The Head of Collections & Recoveries (HCR) is responsible for the operational leadership of all collections, recovery, and post-write-off management activities. The HCR reports functionally to the CCO and is accountable for: the design and performance of collections strategies; the management of third-party collections agents; the legal recovery programme; the optimisation of recoveries on written-off and impaired accounts; and the production of collections and recovery management information as required by this Chapter.

7.3.6 Loan Officers and Relationship Managers

Loan Officers and Relationship Managers (collectively, "Relationship Officers") are the primary first-line owners of individual borrower relationships. Their responsibilities under this Chapter include, without limitation:

- (xviii) Ongoing monitoring of borrower financial health and repayment behaviour in accordance with Section 7.4;
- (xix) Timely identification and escalation of Early Warning Indicator triggers pursuant to Section 7.5;
- (xx) Accurate and timely completion of annual or triggered credit reviews for all active loans within their portfolio;
- (xxi) First-contact customer communication for accounts entering early delinquency, in accordance with Section 7.8;
- (xxii) Assessment and documentation of hardship assistance requests pursuant to Section 7.9; and
- (xxiii) Maintenance of complete and current loan files, including all communication records, financial updates, and documented decisions.

Relationship Officers may not take any action that constitutes a de facto modification of loan terms, an informal payment deferral, or an undocumented concession to a borrower without the prior written approval of the relevant Credit Manager. Any such action, if discovered, shall be treated as a policy breach under Section 7.19.

7.3.7 Senior Credit Analysts

Senior Credit Analysts provide analytical support to the credit management process and are responsible for conducting periodic and triggered credit reviews, Watch List assessments, IFRS 9 staging analyses, and

provisioning recommendations for individual and portfolio segments. Senior Credit Analysts do not make final credit decisions independently but provide evidenced recommendations to Credit Managers and the ECC. All analytical outputs must be documented in the Bank's Credit Management System and must include the analyst's assessment, key assumptions, and basis for any staging or provisioning recommendation.

7.3.8 Credit Managers

Credit Managers are accountable for the credit quality of their assigned portfolio segments and exercise delegated credit authority as specified in the Delegated Authority Matrix maintained under Chapter 5. In respect of this Chapter, Credit Managers are responsible for approving restructuring arrangements and forbearance within their delegated authority, escalating accounts to the Watch List, approving the transition of accounts to the Collections function, and reviewing and approving provisioning recommendations for accounts within their portfolio. Credit Managers shall conduct a monthly review of all Watch List accounts within their portfolio and shall document the outcome of each review in the Credit Management System.

7.3.9 Collections Officers

Collections Officers are specialist staff responsible for managing delinquent accounts that have been formally transferred to the Collections function. Collections Officers operate under the direction of the HCR and in accordance with the Collections Strategy approved pursuant to Section 7.11. Collections Officers are responsible for: maintaining contact with delinquent borrowers; negotiating repayment arrangements within approved parameters; recommending accounts for legal referral; maintaining accurate and complete collections activity logs; and ensuring all customer interactions comply with the communication standards of Section 7.8 and the regulatory requirements of Section 7.18.

7.3.10 Compliance Function

The Compliance function maintains independent oversight of the Bank's adherence to responsible lending obligations, consumer protection laws, collections conduct regulations, and all other statutory obligations applicable to post-disbursement loan management. The Compliance function shall conduct periodic reviews of collections practices, customer communication standards, and hardship assistance processes, and shall report findings to the CCO and the BRCC. Any identified breach of regulatory obligation by Collections staff or third-party collections agents must be reported by the Compliance function to the CCO and the Chief Risk Officer within two (2) Business Days of identification.

7.3.11 Internal Audit

Internal Audit provides independent third-line assurance on the design and operational effectiveness of the policies and controls established in this Chapter. The scope, frequency, and methodology of Internal Audit reviews of credit management, collections, and recoveries are determined by Internal Audit's risk-based audit plan, approved by the Board Audit Committee. Internal Audit findings material to the credit management framework must be reported to the CCO within five (5) Business Days of report completion and to the BRCC at

its next scheduled meeting. Management responses to Internal Audit findings are subject to independent validation prior to closure.

7.3.12 Minimum Governance Activity Calendar

Governance Activity	Frequency	Responsible Party	Presented To
Portfolio Delinquency & NPL Report	Monthly	Head of Collections / Credit Analytics	ECC
Watch List Review (Full)	Monthly	Credit Managers / Senior Credit Analysts	ECC
Provisions and Impairment Review	Quarterly	Finance / Credit Analytics / CCO	ECC, BRCC, External Auditors
Collections Performance Review	Monthly	Head of Collections	ECC
Portfolio Stress Test – Credit Quality	Semi-annual	Credit Risk / Finance	ECC, BRCC
Write-Off Approval (within delegation)	As required	CCO / ECC / BRCC (per Section 7.14)	ECC or BRCC
TPCA Performance & Compliance Review	Quarterly	Head of Collections / Compliance	ECC
EWI System Calibration Review	Annual	Credit Risk / Technology Risk	CCO, CRO
AI Model Performance Review (Credit)	Annual / upon change	Technology Risk / ORM	CCO, CRO, BRCC
Internal Audit – Credit Management Review	Risk-based	Internal Audit	BAC, BRCC
Regulatory Credit Quality Submission	As prescribed	Finance / Compliance	Regulator

7.4 Post-Disbursement Loan Monitoring Framework

7.4.1 Monitoring Obligation

The obligation to monitor the credit quality of all outstanding loan exposures commences on the date of initial disbursement and continues without interruption until the loan is fully repaid, written off, or legally discharged. Monitoring is not discretionary; it is a core credit management obligation applicable to every active loan in the Bank's portfolio, irrespective of borrower size, loan type, product, geography, or current payment status. The intensity and frequency of monitoring shall be calibrated to the risk profile of the exposure, as defined in the Monitoring Intensity Framework set out in Section 7.4.3.

Relationship Officers bear primary responsibility for the monitoring of loans within their assigned portfolios. The Credit Manager bears supervisory accountability for ensuring that monitoring obligations are fulfilled within their portfolio segment. The Chief Credit Officer bears enterprise-level accountability for the integrity and comprehensiveness of the Bank's loan monitoring programme. Internal Audit provides independent assurance that monitoring obligations are being consistently met.

7.4.2 Monitoring Data Sources and Information Requirements

Effective loan monitoring requires the systematic collection, review, and analysis of current and complete information about the borrower's financial condition, business performance, and payment behaviour. The minimum information requirements for monitoring vary by borrower category and are set out below. All monitoring information must be recorded in the Bank's Credit Management System within five (5) Business Days of receipt.

Borrower Category	Minimum Annual Information Requirements	Additional Triggered Requirements
Large Corporate & Institutional (Exposure > USD 10M)	Audited financial statements within 180 days of year-end; management accounts quarterly; covenant compliance certificate quarterly; borrowing base certificate (where applicable) monthly; site visit or management meeting notes annually	Unaudited interim financials within 30 days of request; updated security valuation upon trigger; updated financial model upon material event
Mid-Market Commercial (Exposure USD 1M – USD 10M)	Audited or reviewed financial statements within 180 days of year-end; management accounts semi-annually; covenant compliance certificate semi-annually	Updated business plan upon material change; refreshed personal net worth for guarantors annually; security revaluation upon trigger
Small Business & SME (Exposure < USD 1M)	Tax returns or financial statements annually; bank statement analysis semi-annually; updated business performance summary annually	Bank statements upon request; refreshed credit bureau data upon EWI trigger
Retail Mortgage	Property valuation review (desk-based) every 3 years; credit bureau refresh annually; payment history continuous	Full valuation upon LTV trigger; income verification upon hardship application
Consumer Instalment & Personal Loans	Credit bureau refresh annually; payment history continuous	Income verification upon hardship application; bureau refresh upon EWI trigger

7.4.3 Monitoring Intensity Framework

Each active loan shall be assigned a Monitoring Intensity Level (MIL) that determines the frequency and depth of monitoring activities. MIL assignment is made at origination by the approving Credit Manager and is reviewed at each annual credit review. MIL may be upgraded at any time by a Relationship Officer, Credit Manager, or the CCO based on identified deterioration or EWI triggers. Downgrade of MIL requires formal Credit Manager approval and documented justification.

Monitoring Intensity Level	Applicable Profile	Review Frequency	Watch List Status
MIL 1 — Standard	Performing loans; no EWI triggers; LTV within policy; covenants met	Annual credit review; continuous payment monitoring	Not on Watch List
MIL 2 — Enhanced	Any EWI amber trigger; covenant waiver granted; adverse sector developments; DPD 1–29	Semi-annual credit review; monthly financial data review	Watch List consideration per Section 7.5
MIL 3 — Intensive	Multiple EWI triggers; Watch List status; DPD 30–89; forbearance in place; Stage 2 IFRS 9	Quarterly credit review; monthly contact with borrower; monthly ECC reporting	Mandatory Watch List
MIL 4 — Critical	NPL status; DPD 90+; legal referral under consideration; Stage 3 IFRS 9; security enforcement pending	Monthly review; weekly credit team discussion; fortnightly HCR review	Mandatory Watch List; CCO escalation

7.4.4 Annual Credit Review Obligations

Every loan with an outstanding balance greater than USD 100,000 (or local equivalent) shall be subject to a formal Annual Credit Review (ACR) conducted by the assigned Senior Credit Analyst and reviewed by the Credit Manager. ACRs for exposures exceeding USD 5 million require CCO review. The ACR must address the following as a minimum:

- (xxiv) Updated assessment of the borrower's financial condition, trading performance, and repayment capacity based on current financial information;
- (xxv) Review and re-rating of the borrower's internal credit rating, with documented basis for any rating change;
- (xxvi) Assessment of compliance with all loan covenants, with documentation of any breach, waiver, or remediation;
- (xxvii) Review of collateral adequacy, including updated valuations where required by the Monitoring Intensity Level or this Section;
- (xxviii) Assessment of current MIL assignment and recommendation for change where warranted;
- (xxix) Review of IFRS 9 staging and provisioning adequacy, with recommendation for change where applicable;
- (xxx) Identification of any active or potential EWI triggers; and
- (xxxi) Recommendation on Watch List status, restructuring need, or other credit action.

ACRs that are overdue by more than thirty (30) days constitute an operational risk event subject to mandatory capture and reporting pursuant to Chapter 6. The CCO shall report ACR completion status to the ECC monthly.

7.4.5 Covenant Monitoring

All financial covenants, maintenance covenants, and incurrence covenants included in the Bank's credit agreements shall be monitored systematically. The Covenant Monitoring Schedule for each facility shall be recorded in the Credit Management System at the time of origination and shall specify the covenant, the measurement basis, the reporting frequency, and the cure period. Breach of any financial covenant is an automatic EWI trigger and requires immediate notification to the Credit Manager and escalation to MIL 2 at minimum, pending full assessment.

Where the Bank elects to waive a covenant breach, the waiver must be documented in writing, approved by the CCO, and communicated to the borrower in a formal waiver letter. Covenant waivers may not be granted verbally or informally. The granting of a covenant waiver shall be recorded in the Credit Management System and disclosed in provisioning assessments as a potential indicator of increased credit risk. Repeated covenant waivers for the same borrower shall be treated as a material credit concern and shall trigger an MIL 3 review as a minimum.

7.4.6 Collateral Monitoring and Revaluation

All collateral securing loan obligations must be monitored for continued adequacy throughout the life of the facility. Minimum revaluation frequencies are as follows: commercial real estate securing loans above USD 2 million — every three years, with a desk-based review annually; residential property securing mortgages — desk-based review every two years, full valuation upon trigger event; listed securities — continuous mark-to-market monitoring; movable assets — annually; guarantees — annual assessment of guarantor net worth. Where a revaluation reveals a deterioration in collateral value resulting in an LTV ratio exceeding the policy limit specified in Chapter 5, the Credit Manager must be notified within two (2) Business Days and a remediation plan (top-up collateral, partial prepayment, or other mitigant) must be agreed within thirty (30) days.

7.5 Early Warning Indicator System

7.5.1 Purpose and Design Philosophy

The Early Warning Indicator (EWI) System is the Bank's primary mechanism for prospective identification of credit deterioration in individual borrower accounts, before delinquency has occurred or while delinquency remains at an early stage. The EWI System is designed to provide sufficient advance notice of potential default to enable proactive management intervention, customer engagement, and loss mitigation. The EWI System shall be maintained and periodically calibrated by the Credit Risk function, with technology support from the Bank's Credit Management System and analytical capabilities as described in Section 7.17.

The EWI System does not replace the professional judgement of Relationship Officers, Credit Analysts, or Credit Managers. EWI alerts are analytical triggers that require human assessment and response; they do not automatically determine credit classification, provisioning, or customer action. The assessment and response to every EWI trigger must be documented by the responsible Relationship Officer or Credit Manager.

7.5.2 EWI Categories and Trigger Events

EWIs are organised into the following categories. The full EWI Master Register, including threshold values and escalation actions for each indicator, is maintained in Appendix B and in the Credit Management System.

EWI Category	Trigger Examples	Signal Strength	Minimum Response
Financial Performance	Revenue decline > 15% YoY; EBITDA margin compression > 5pp; current ratio below 1.0; debt service coverage ratio below 1.1x; negative equity on updated financials	Amber to Red depending on severity	MIL upgrade to minimum MIL 2; Credit Manager review within 10 Business Days; updated financial assessment
Payment Behaviour	Any DPD 1–14 in current or preceding 3 months; partial payment received; returned direct debit; cheque dishonour; late payroll receipts (for salary-secured loans)	Amber (DPD 1–14); Red (DPD 15+)	Relationship Officer contact within 2 Business Days; Credit Manager notification within 5 days; Watch List assessment
Banking Behaviour	Significant reduction in deposit balances; unusual outflow patterns; increased reliance on overdraft; renegotiation of supplier terms; increased returned payments	Amber	Credit Manager review within 10 Business Days; request for explanation from borrower
Operational / Business	Key management departure; loss of major customer / contract; supply chain disruption; material litigation commenced; regulatory action against borrower; change in auditor	Amber to Red	Immediate Relationship Officer notification to Credit Manager; MIL 3 if Red; Watch List review within 5 days

Industry / Macro	Adverse sector-level developments; commodity price movements beyond defined thresholds; regulatory changes materially impacting borrower industry; currency stress affecting income	Amber (sector-wide); Red (borrower-specific material impact)	Portfolio-level review of sector exposure; individual borrower stress test if Red
External / Market	Adverse press coverage; credit rating downgrade (where applicable); adverse court judgements; legal charges on assets; bankruptcy of a related entity	Amber to Red	Immediate Credit Manager notification; legal assessment; Watch List escalation
Collateral	Property valuation decline > 10%; LTV breach; insurance lapse on secured assets; legal encumbrance on collateral; collateral liquidity deterioration	Amber (LTV approach); Red (breach)	Immediate notification; collateral remediation demand within 30 days; MIL upgrade

7.5.3 EWI Escalation and Response Standards

Upon identification of an EWI trigger, whether generated by the Credit Management System, identified by a Relationship Officer, or reported through third-party data, the following mandatory response standards apply:

- (xxxii) The Relationship Officer must record the EWI trigger in the Credit Management System within one (1) Business Day of identification;
- (xxxiii) An initial assessment of the trigger's significance and the borrower's current credit status must be completed and documented within five (5) Business Days;
- (xxxiv) The Credit Manager must be notified of all Amber triggers within five (5) Business Days and of all Red triggers within one (1) Business Day;
- (xxxv) Where the assessment concludes that the borrower's risk profile has materially deteriorated, a Watch List nomination must be submitted to the ECC within ten (10) Business Days; and
- (xxxvi) An updated IFRS 9 staging assessment must be performed within fifteen (15) Business Days of a Red EWI trigger.

Failure by a Relationship Officer to record an identified EWI trigger constitutes a policy breach and shall be escalated to the Credit Manager and the CCO. Where evidence indicates that a Relationship Officer was aware of an EWI trigger and failed to record it, the matter shall be referred to the Compliance function and, where appropriate, to HR for disciplinary review.

7.5.4 Watch List Management

The Watch List is a formal credit management register of all borrowers whose current or prospective credit condition requires enhanced scrutiny, active management, or specific remedial action. Placement on the Watch List does not automatically alter the loan's classification or the borrower's IFRS 9 staging; however, it triggers the enhanced monitoring obligations of MIL 2 or MIL 3 as applicable.

The Watch List must be reviewed in full by the ECC at each monthly meeting. For each Watch List account, the Credit Manager must provide a written status update in the Credit Management System prior to the ECC meeting, covering: current financial condition, recent payment behaviour, active management actions, recovery strategy, IFRS 9 staging status, and current provisioning. Watch List status must be reviewed for continued appropriateness at each ECC review. Removal from the Watch List requires ECC approval and documented evidence of sustained improvement meeting the cure criteria of Section 7.7.5.

7.6 Payment Monitoring and Arrears Management

7.6.1 Payment Monitoring Standards

The Bank shall maintain a continuous and automated payment monitoring process covering all loan accounts. Payment monitoring shall be performed through the Bank's core banking system, which must be configured to: (i) generate an automated alert for any scheduled payment not received in full by close of business on the due date; (ii) calculate DPD for every account on a daily basis; (iii) classify accounts into delinquency buckets in accordance with Section 7.7; and (iv) feed updated DPD and delinquency data into the Credit Management System for review by Relationship Officers and Credit Managers.

The accuracy of the payment monitoring system is a critical data quality obligation under Chapter 6, Section 6.10.4 and BCBS 239. The Finance function shall reconcile payment receipts to loan account records at minimum weekly; reconciling items exceeding USD 10,000 in aggregate must be resolved within three (3) Business Days. Systematic errors in payment recording must be reported to the Head of Operational Risk as an operational risk event pursuant to Chapter 6.

7.6.2 Arrears Management by DPD Band

The following mandatory arrears management actions apply at each DPD band. These actions represent minimum standards; Relationship Officers and Collections Officers may take additional action at their discretion, subject to compliance with Section 7.8 and Section 7.18.

DPD Band	Classification	Mandatory Action	Responsible Party	Escalation
DPD 1–3	Early Miss	Automated payment reminder (SMS / email); system-generated EWI flag	System / Relationship Officer	None mandatory; flag for review
DPD 4–14	Early Delinquency	Relationship Officer direct telephone contact; reason for non-payment documented; payment arrangement discussion	Relationship Officer	Credit Manager notification if no contact within 5 days
DPD 15–29	Early Delinquency	Second contact attempt; formal written notice of arrears issued; hardship assessment offered; EWI Red trigger review	Relationship Officer / Credit Manager	Credit Manager to review and approve action plan; Watch List assessment
DPD 30–59	Mid Delinquency	Transfer to Collections function; collections call within 2 Business Days of transfer; formal demand for payment arrears issued	Collections Officer / HCR	ECC notification; MIL 3 mandatory; IFRS 9 Stage 2 assessment required
DPD 60–89	Late Delinquency	Intensified collections activity; legal pre-action letter issued; security position confirmed; guarantor notified where applicable	Collections Officer / Legal	ECC review; HCR approval of strategy; security enforcement review

DPD 90–179	Non-Performing (NPL)	NPL classification; legal referral decision by HCR and CCO; security enforcement initiated where warranted; IFRS 9 Stage 3	Collections / Legal / CCO	ECC approval of recovery strategy; BRCC notification
DPD 180+	Severely NPL	Full legal recovery programme; security write-off; assessment; debt sale consideration	Legal / Head of Collections / CCO	ECC / BRCC write-off approval per Section 7.14

7.6.3 Partial Payment Policy

Where a borrower makes a partial payment that does not satisfy the full contracted instalment, the payment must be applied to the outstanding balance in the following order of priority, unless the loan agreement specifies a different application order that has been approved by the CCO: (i) unpaid fees and charges; (ii) accrued interest; (iii) principal instalment. The DPD counter shall not be reset upon receipt of a partial payment unless the partial payment, together with any amounts already received in respect of the relevant period, fully satisfies the contractual instalment for that period. Relationship Officers must not represent to borrowers, verbally or in writing, that a partial payment will bring an account current, where this is not the contractual effect of the payment.

7.6.4 Payment Holiday and Grace Period Management

Payment holidays or grace periods that were contractually included in the original loan agreement are not arrears events and shall not generate EWI triggers or delinquency classifications during the contractual holiday period. Payment holidays or grace periods granted after disbursement as a concession in response to borrower financial difficulty are Forbearance measures subject to Section 7.10 and must be formally documented, approved, and reported as forbore exposures. Relationship Officers must not grant informal or undocumented payment holidays under any circumstance.

7.7 Delinquency Classification and Staging

7.7.1 Classification Framework Overview

The Bank's delinquency classification framework translates payment performance and credit condition into standardised risk categories that drive monitoring intensity, provisioning, regulatory reporting, and management action. The classification framework is aligned with the Basel Committee's guidance on credit risk classification, EBA NPL guidelines, IFRS 9 staging requirements, and applicable regulatory classification requirements in each jurisdiction of operation. Delinquency classification is a systematic and automated process that must reflect objective criteria; subjective adjustments are not permitted and any override of an automated classification requires CCO approval and documentation.

7.7.2 Loan Classification Categories

Classification	Criteria	IFRS 9 Stage	Provisioning Basis	Watch List
Pass	DPD 0; covenants met; no adverse EWIs; internal credit rating satisfactory	Stage 1	12-Month ECL	No
Special Mention	DPD 1–29; or Amber EWI active; or minor covenant breach under management; credit rating downgrade by 1 notch	Stage 1 / 2	12-Month ECL or Lifetime ECL (if SICR)	Consider
Substandard	DPD 30–89; or significant covenant breach; or substantial adverse EWI; or credit rating downgraded ≥ 2 notches; or restructured within 12 months	Stage 2	Lifetime ECL	Mandatory
Doubtful	DPD 90–179; or full repayment uncertain; or legal action commenced; or security enforcement initiated; or significant forbearance with high default probability	Stage 3	Lifetime ECL (net of recovery)	Mandatory
Loss	DPD 180+; or recovery extremely unlikely; or write-off pending; or security insufficient to cover estimated loss	Stage 3	Lifetime ECL (near total impairment)	Mandatory

7.7.3 Non-Performing Loan Classification

A loan shall be classified as Non-Performing (NPL) when any of the following conditions is met, without exception or management override below CCO level:

- (xxxvii) The borrower is 90 or more calendar days past due on any material credit obligation to the Bank;

- (xxviii) The Bank considers, based on objective evidence, that it is unlikely that the borrower will repay the credit obligation in full without recourse to collateral, regardless of DPD;
- (xxix) A formal restructuring has been agreed with a borrower who is classified as Doubtful or worse;
or
- (xl) Legal proceedings for recovery have been formally initiated.

Where a borrower has multiple credit obligations to the Bank and one obligation is classified as NPL, the Bank shall apply a pull-through policy: all other material obligations of the same borrower shall be reviewed for NPL classification within fifteen (15) Business Days and shall be classified as NPL unless there is compelling documented evidence of separately supported repayment capacity for each obligation.

7.7.4 Significant Increase in Credit Risk (SICR) Assessment

The determination of a Significant Increase in Credit Risk (SICR) for the purpose of IFRS 9 Stage 2 transfer is performed by the Credit Analytics function on a quarterly basis as part of the provisioning review process and, on a triggered basis, upon any material EWI event. SICR assessment shall consider: (i) the quantitative rebuttable presumption of 30 DPD; (ii) movement in the borrower's internal credit rating since origination; (iii) adverse changes in macroeconomic or industry conditions material to the borrower; (iv) active EWI triggers; and (v) qualitative judgement by the Senior Credit Analyst based on all available information.

The rebuttable presumption of SICR at 30 DPD may be rebutted only with documented evidence that the payment delay is due to an administrative error or system failure and the borrower's underlying credit condition has not changed. Rebuttal of the presumption requires CCO approval. Rebuttal decisions must be reported in the quarterly provisions report to the BRCC.

7.7.5 Cure and Reclassification Requirements

An account may be reclassified to a lower risk category only upon satisfaction of all of the following conditions:

- (xli) For reclassification from NPL to Substandard: all arrears have been fully paid; the account has been fully current for a minimum of six (6) consecutive months; no new EWI triggers are active; and the updated credit review supports a satisfactory risk assessment;
- (xlii) For reclassification from Substandard to Special Mention or Pass: all arrears have been fully paid; the account has been fully current for a minimum of three (3) consecutive months; all covenants are in compliance; and no active Red EWI triggers exist; and
- (xliii) For reclassification from Forborne status: the forborne exposure must meet the probation period requirements specified in Section 7.10.6.

All reclassification decisions must be approved by the Credit Manager and documented in the Credit Management System. Reclassifications affecting the IFRS 9 staging and provisioning of exposures above USD 1 million require CCO notification.

7.8 Customer Communication Standards

7.8.1 Communication Principles

CONDUCT PRINCIPLE: All communications with borrowers regarding arrears, delinquency, hardship, collections, or legal recovery must be conducted with dignity, respect, and transparency. The Bank does not permit aggressive, misleading, coercive, or unfair debt collection practices. All communications must comply with applicable consumer protection legislation, debt collection conduct regulations, and the Bank's Customer Conduct Policy. Any employee or third-party agent who engages in prohibited conduct will be subject to immediate disciplinary action and the matter will be reported to the Compliance function and, where required by law, to the relevant regulatory authority.

The following principles apply to all customer communications within scope of this Chapter:

- (xliv) All communications must be accurate, clear, and not misleading as to the borrower's rights, obligations, or the consequences of non-payment;
- (xlv) Communications must be in the language of the loan agreement or, where the borrower has indicated preference for another language in which the Bank can communicate, in that language;
- (xlvii) All substantive communications must be documented in the Credit Management System within one (1) Business Day of the communication occurring;
- (xlviii) Where a borrower has a designated representative or legal adviser, communications regarding the account must be directed to that representative following formal notification of the mandate; and
- (xlviii) All written communications regarding debt collection, legal action, or security enforcement must be reviewed by the Legal function or approved template before issuance.

7.8.2 Contact Frequency and Channel Standards

DPD Status	Permitted Contact Methods	Maximum Contact Frequency	Prohibited Conduct
DPD 1–29	Telephone (business hours); SMS / email reminder; written correspondence	3 contacts per week; not before 8am or after 8pm local time	Contact at workplace without consent; contact through third parties without consent; misleading statements about consequences
DPD 30–89	Telephone (business hours); written formal notices; email; SMS; field visit (with prior notice, where permitted)	5 contacts per week (multiple channels); field visit maximum once per week	Threats of legal action not genuinely intended; misleading claims about legal status of debt
DPD 90+	All above channels; legal correspondence; guarantor notification	As required by legal process and collections strategy	All prohibited conduct as above; any communication misrepresenting the Bank's legal position

7.8.3 Mandatory Communication Records

The following communications are mandatory and must be issued in writing with a copy retained on the loan file and recorded in the Credit Management System:

- (xlix) Written notice of first arrears event (DPD 15 or upon second missed payment, whichever is earlier);
- (l) Written formal demand for payment at DPD 30;
- (li) Written notice of NPL classification;
- (lii) Written offer of hardship assistance information (to be issued no later than DPD 30);
- (liii) Written pre-legal notice before any legal action is commenced;
- (liv) Written notice of security enforcement before enforcement is initiated;
- (lv) Written notice of debt referral to a third-party collections agent; and
- (lvi) Written notice of any restructuring or forbearance arrangement agreed.

Copies of all mandatory written communications must be retained for a minimum of seven (7) years from the date of issuance, consistent with the Bank's Records Retention Policy.

7.8.4 Vulnerable Customer Identification and Management

The Bank is committed to identifying and making appropriate adjustments for borrowers who are, or who may be, in vulnerable circumstances, including persons with disabilities, persons experiencing mental health difficulties, persons who have experienced bereavement or domestic abuse, elderly persons, and persons experiencing severe financial distress. Relationship Officers and Collections Officers must be trained to recognise indicators of vulnerability and to apply the Bank's Vulnerable Customer Policy. Where a borrower is identified as vulnerable, the account must be flagged in the Credit Management System and the collections approach must be reviewed by the Credit Manager or HCR to ensure it is appropriate to the borrower's circumstances. Adjustments to collections activity for vulnerable customers must be documented and must not adversely affect the Bank's legal position without CCO approval.

7.9 Hardship Assistance and Financial Difficulty Policy

7.9.1 Policy Statement on Hardship Assistance

The Bank is committed to dealing fairly and constructively with borrowers who are experiencing genuine financial difficulty. The hardship assistance framework provides a structured set of responses to financial difficulty that are designed to: (i) provide genuine relief to borrowers who are temporarily unable to meet their obligations; (ii) minimise avoidable defaults and credit losses; (iii) comply with responsible lending obligations and regulatory requirements; and (iv) maintain the trust and confidence of the Bank's customers during periods of financial stress.

Hardship assistance is not a right to avoid repayment obligations; it is a structured arrangement designed to give borrowers who are genuinely struggling an opportunity to restore their financial position with Bank support, subject to appropriate assessment and conditions. All hardship arrangements must be documented, monitored, and reported consistently with the provisions of this Chapter and with IFRS 9 forbore exposure requirements.

7.9.2 Hardship Eligibility Assessment

A borrower is eligible to apply for hardship assistance if: (i) the borrower demonstrates a genuine change in financial circumstances or the occurrence of a hardship event such as illness, loss of employment, reduction in income, relationship breakdown, natural disaster, or other circumstances materially affecting repayment capacity; (ii) the change in circumstances is temporary or otherwise remediable; and (iii) the borrower is demonstrating good faith in engaging with the Bank and in seeking to resolve their financial difficulty.

Applications for hardship assistance must be made in writing or through the Bank's designated hardship channel and must be supported by documentation evidencing the change in circumstances. The Credit Manager or Relationship Officer receiving a hardship application must acknowledge receipt within two (2) Business Days and must complete an assessment within ten (10) Business Days. During the assessment period, collections escalation and legal action shall be suspended unless there is evidence of fraud or deliberate concealment.

7.9.3 Hardship Assessment Process

The hardship assessment must include the following:

- (lvii) Review and verification of the documented hardship circumstances and supporting evidence;
- (lviii) Updated income and expenditure assessment for retail borrowers; updated trading financial analysis for commercial borrowers;
- (lix) Assessment of the borrower's current and projected repayment capacity over the proposed assistance period;
- (lx) Assessment of available hardship relief options and their appropriateness to the borrower's circumstances;
- (lxi) Determination of whether the arrangement is expected to result in full recovery of the outstanding obligation or whether it constitutes a concession that must be classified as forbearance; and
- (lxii) Documentation of the recommendation and basis for the selected hardship arrangement.

Hardship assessments for exposures above USD 500,000 require CCO review. All hardship assessments and outcomes must be recorded in the Credit Management System and retained on the loan file.

7.9.4 Hardship Assistance Options

The following hardship assistance options are available within this framework. The appropriate option shall be selected based on the hardship assessment and shall be the option most likely to result in the borrower restoring sustainable repayment, having regard to both the borrower's circumstances and the Bank's credit position:

Assistance Option	Description	Maximum Duration	Approval Authority	Forborne Exposure?
Payment Deferral	Scheduled payments suspended; deferred amounts added to loan balance or payable at maturity	3 months	Credit Manager	Yes — classify as forborne
Reduced Payment Plan	Temporarily reduced instalment (covering at minimum all accruing interest) for a defined period	6 months	Credit Manager	Yes — if below contractual minimum
Interest-Only Period	Principal repayments suspended; interest payments continue	12 months	CCO	Yes — classify as forborne
Term Extension	Loan maturity extended, reducing instalment amount	Up to original term	CCO	Yes — if driven by hardship
Temporary Waiver of Fees	Suspension of default fees, late charges, or penalty interest for defined period	6 months	Credit Manager	No — administrative concession only
Loan Consolidation	Consolidation of multiple facilities into a single restructured facility with revised terms	Per restructured terms	ECC	Yes — classify as restructured and forborne
Partial Principal Write-Down	Reduction of outstanding principal balance as part of a sustainable restructured repayment plan	Permanent	BRCC	Yes — classify as forborne with Stage 3 review

7.10 Loan Restructuring and Forbearance Policy

7.10.1 Restructuring Policy Statement

Loan restructuring is a formal credit management tool employed by the Bank to maximise recovery from borrowers experiencing financial difficulty by modifying the terms of the credit obligation in a manner that is: (i) economically sustainable for the borrower; (ii) consistent with the Bank's legitimate expectations of recovery; (iii) fully documented and approved through the governance process specified in this Section; and (iv) classified and reported in accordance with IFRS 9, applicable regulatory requirements, and the EBA Guidelines on management of non-performing and forbore exposures (EBA GL/2018/06 and successor guidance).

Restructuring is a managed credit concession, not a routine servicing action. Every restructuring must be based on a realistic and documented assessment of the borrower's ability to service the restructured obligation. Restructuring that defers loss without genuine prospect of recovery is not consistent with this policy and shall constitute a policy breach. The Bank does not engage in evergreening of credit exposures.

7.10.2 Restructuring Eligibility Criteria

A restructuring proposal shall only be approved where all of the following criteria are met:

- (lxiii) The borrower has demonstrated genuine financial difficulty that has resulted in, or is likely to result in, an inability to service the existing credit obligation on the original contractual terms;
- (lxiv) The restructured terms are based on a documented assessment of the borrower's current and projected repayment capacity, which demonstrates that the restructured obligation is serviceable;
- (lxv) The restructured proposal maximises the net present value of the Bank's expected recovery, compared with the estimated recovery under legal enforcement; and
- (lxvi) The restructuring is documented in a formal Credit Restructuring Proposal and approved through the authority matrix specified in Section 7.10.3.

7.10.3 Restructuring Approval Authority Matrix

Outstanding Exposure	Restructuring Type	Approval Authority	ECC Notification
< USD 250,000	Payment deferral, reduced payment, fee waiver	Credit Manager	Monthly ECC report
< USD 250,000	Term extension, interest-only, loan consolidation	CCO (or designated delegate)	Monthly ECC report
USD 250K – USD 2M	All restructuring types except principal write-down	CCO	ECC prior notification for write-down
USD 250K – USD 2M	Partial principal write-down	ECC	ECC approval required
USD 2M – USD 10M	All restructuring types	ECC	ECC approval required

> USD 10M	All restructuring types	BRCC	BRCC approval required; ECC recommendation
Any amount	Multiple restructurings for same borrower within 24 months	CCO minimum; ECC if > USD 2M	Mandatory ECC review

7.10.4 Credit Restructuring Proposal Documentation

Every restructuring at or above USD 250,000 must be supported by a Credit Restructuring Proposal containing the following minimum elements:

- (lxvii) Summary of the borrower's financial difficulty and the circumstances leading to the restructuring request;
- (lxviii) Updated financial analysis, including income statement, balance sheet, and cash flow analysis at the date of the proposal;
- (lxix) Assessment of the borrower's sustainable debt service capacity and the basis for that assessment;
- (lxx) Description of the proposed restructured terms and the basis for their selection;
- (lxxi) Net present value analysis comparing the restructured recovery scenario with the legal enforcement scenario, including assumptions;
- (lxxii) Updated collateral position and valuation;
- (lxxiii) IFRS 9 staging assessment and provisioning impact of the proposed restructuring;
- (lxxiv) Conditions precedent to the restructuring, including any additional security, covenant, or reporting obligation to be imposed; and
- (lxxv) Monitoring plan for the restructured loan, including review frequency and trigger events for re-escalation.

7.10.5 Post-Restructuring Monitoring

All restructured loans shall be assigned minimum MIL 3 status for the full duration of the probation period specified in Section 7.10.6. Monthly monitoring reports must be produced by the Relationship Officer and reviewed by the Credit Manager for all restructured loans. Any missed payment or covenant breach during the probation period must be reported to the CCO within two (2) Business Days and shall trigger a review of the restructuring viability, which may result in escalation to legal recovery.

7.10.6 Forborne Exposure Probation and Exit Requirements

A restructured or forborne exposure may only exit forborne status upon satisfaction of all of the following conditions:

- (lxxvi) A minimum of twelve (12) months has elapsed since the later of: (a) the date on which the forbearance arrangement was granted; or (b) the date on which the exposure was classified as Non-Performing, if applicable;

- (lxxvii) The borrower has made all contractually required payments under the restructured terms during the probation period without interruption;
- (lxxviii) No new forbearance measures have been granted during the probation period;
- (lxxix) The most recent credit review supports the conclusion that the borrower's financial condition has recovered sufficiently to sustain ongoing compliance with the restructured terms; and
- (lxxx) The CCO has formally approved the exit from forborne status in writing.

Exposures that were classified as Non-Performing at the time of restructuring are subject to an additional probation period of twelve (12) months after satisfying the conditions above before they may be reclassified as performing for NPL reporting purposes. This extended cure period reflects the minimum standards in EBA NPL guidelines.

7.11 Collections Management Policy

7.11.1 Collections Framework and Strategy

The Collections function is the Bank's specialist unit responsible for managing delinquent and non-performing accounts with the objective of maximising recovery of outstanding credit obligations while complying with all applicable laws, regulatory requirements, and the conduct standards of Section 7.8. The Collections function operates under the direction of the Head of Collections & Recoveries, who reports to the Chief Credit Officer.

The HCR shall maintain a documented Collections Strategy, reviewed and approved by the CCO annually, that defines: (i) the collections approach and intensity for each DPD band and loan product type; (ii) the allocation of accounts between in-house collections and third-party collections agents; (iii) the segmentation of the portfolio for collections purposes; (iv) the criteria for legal referral; (v) the performance metrics by which collections effectiveness is measured; and (vi) the use of technology and analytics tools in the collections process, consistent with Section 7.17.

7.11.2 Account Transfer to Collections

Transfer of an account to the Collections function shall occur at DPD 30, unless the Credit Manager determines that continued management by the Relationship Officer is more appropriate based on documented circumstances (such as the existence of active hardship assessment or a near-completed restructuring). Such deferral of transfer must be documented and may not exceed thirty (30) additional days without CCO approval. Accounts must be transferred to Collections no later than DPD 60 in all cases, without exception.

At the point of transfer, the transferring Relationship Officer must ensure that the Credit Management System contains: (i) a complete payment history; (ii) all contact records; (iii) a current credit assessment; (iv) copies of all relevant loan documentation; (v) details of any active hardship or restructuring discussions; and (vi) the current collateral position. Incomplete handover files must be flagged to the Credit Manager and completed within five (5) Business Days of transfer.

7.11.3 Collections Activity Standards

Collections Officers must maintain a current activity log for every account under management, recorded in the Credit Management System. The activity log must include the date, method, and outcome of every contact attempt and every substantive communication with the borrower, guarantor, or legal representative. The following minimum activity standards apply:

DPD Band	Minimum Contact Attempts per Month	Mandatory Actions	Escalation Trigger
DPD 30–59	8 (multiple channels)	Formal demand letter; hardship offer letter; updated skip trace if no contact	No contact within 15 days → escalate to HCR
DPD 60–89	10 (multiple channels)	Pre-legal notice; guarantor notification; security position confirmation; field visit if warranted	HCR review and legal referral assessment

DPD 90–179	12 (multiple channels)	Legal referral; security valuation update; write-off assessment preparation	CCO approval of recovery strategy
DPD 180+	Per legal strategy	Full legal recovery; security enforcement; write-off preparation	ECC / BRCC write-off approval

7.11.4 Collections Performance Measurement

The HCR shall produce a monthly Collections Performance Report for review by the ECC. The report shall include, at minimum: total accounts in collections by DPD band and product type; total value of accounts in collections; collection rate (cash collected / amount due) by DPD band; roll-rate analysis (migration between DPD bands); recovery rate on legal and enforcement actions; TPCA performance metrics; and staffing and capacity metrics. Collections performance against target metrics shall be reviewed by the ECC, and material underperformance shall be escalated to the BRCC.

7.11.5 Skip Tracing Policy

Where a borrower cannot be contacted through established channels, the Collections function may conduct skip tracing to locate current contact information. Skip tracing activities must be conducted through lawful means only, using only information to which the Bank has lawful access or through authorised commercial tracing services. Skip tracing must not involve: (i) contact with the borrower's employer, family, or associates in a manner that discloses the existence of the debt; (ii) access to information obtained without the borrower's consent unless expressly permitted by applicable law; or (iii) any form of surveillance or physical following. All skip tracing activities must be documented.

7.11.6 Third-Party Collections Agent Management

The Bank may engage Third-Party Collections Agents (TPCAs) to perform collections activities on its behalf in accordance with the third-party governance framework of Chapter 6, Section 6.9. In addition to those requirements, the following specific obligations apply to TPCAs:

- (lxxxi) All TPCAs must be approved by the CCO and HCR prior to engagement. No TPCA may be engaged without completion of due diligence covering: regulatory authorisation status; financial soundness; compliance programme; conduct record; and data security capability;
- (lxxxii) TPCA contracts must include: obligation to comply with the Bank's collections conduct standards; audit rights for the Bank; data processing obligations under applicable data protection law; incident reporting obligations; and termination provisions for conduct breaches;
- (lxxxiii) TPCAs must not be provided with more borrower information than is strictly necessary for the collections purpose;
- (lxxxiv) TPCAs may not initiate legal proceedings without the prior written approval of the Bank's Legal function in each individual case;
- (lxxxv) The Compliance function must review TPCA collections practices on-site or through file review at minimum quarterly; and

(lxxxvi) Any confirmed conduct breach by a TPCA must be reported to the CCO and Compliance function immediately and may result in termination of the TPCA engagement.

7.12 Legal Recovery and Enforcement

7.12.1 Legal Recovery Decision Framework

The decision to initiate formal legal proceedings for recovery of a delinquent obligation is a significant credit and operational decision that must be approved through the governance process specified in this Section. Legal proceedings carry both cost and reputational implications and must be approached as a measured last resort where commercial resolution has been exhausted or where the borrower is acting in bad faith. At the same time, delay in initiating legal proceedings where commercial resolution is not achievable can result in material value erosion and shall not be permitted.

The HCR must review every account reaching DPD 90 and, in collaboration with the Legal function, must prepare a documented Recovery Strategy recommending one of the following courses of action: (i) continued collections without legal action (with documented basis); (ii) intensified collections with legal pre-action notice; (iii) commencement of legal proceedings; or (iv) security enforcement without court proceedings (where the security documentation permits and applicable law allows). The Recovery Strategy must be approved by the CCO for exposures below USD 2 million and by the ECC for exposures of USD 2 million or above.

7.12.2 Legal Recovery Prerequisites

Before commencing legal proceedings, the Legal function must confirm that all of the following have been completed:

- (lxxxvii) The pre-legal notice required by Section 7.8.3 has been issued and the stipulated notice period has elapsed;
- (lxxxviii) A complete and current set of loan documentation has been located and verified as legally enforceable;
- (lxxxix) The borrower's current address and, where applicable, asset position have been confirmed;
- (xc) The statute of limitations position has been assessed and confirmed as within the applicable limitation period;
- (xci) The security position has been assessed and all security documentation is confirmed as enforceable; and
- (xcii) The estimated recovery through legal proceedings has been compared with the current provision to confirm that legal action is economically justified.

7.12.3 Security Enforcement

Where the Bank holds security against a defaulted obligation, the Legal function in collaboration with the HCR shall assess the enforceability, timing, and likely recovery from security realisation. Security enforcement may not be initiated without: (i) written notification to the borrower and, where applicable, to guarantors; (ii) confirmation of the Bank's legal right to enforce in the relevant jurisdiction; (iii) an updated security valuation within sixty (60) days of the enforcement decision; and (iv) CCO or ECC approval as specified in the approval

matrix. The Bank shall comply with all applicable statutory requirements governing security enforcement, including notice periods, registration requirements, and powers of sale.

Proceeds from security realisation shall be applied to the outstanding obligation in the following order: recovery costs and legal expenses; unpaid interest and fees; principal outstanding. Any surplus proceeds after full satisfaction of the obligation must be returned to the borrower promptly in accordance with applicable law. Any shortfall following security realisation shall be pursued through ongoing collections or written off in accordance with Section 7.14.

7.12.4 Debt Sale

The Bank may, in circumstances approved by the BRCC, sell portfolios of non-performing or written-off obligations to third-party debt purchasers as a recovery strategy. Debt sale decisions must be preceded by an internal valuation of the portfolio, comparison with the estimated recovery through continued internal management, and assessment of any reputational or regulatory considerations. Debt sale agreements must include representations and warranties as to the validity and accuracy of loan data provided to purchasers. The Compliance function must review any proposed debt sale for regulatory compliance in all applicable jurisdictions before execution. Borrowers whose debts are sold must be notified in accordance with applicable law.

7.13 Provisioning, Impairment, and IFRS 9 Alignment

7.13.1 Provisioning Policy Statement

The Bank shall maintain credit loss provisions that are adequate, appropriately calculated, and compliant with IFRS 9 Financial Instruments and with applicable regulatory provisioning requirements. Provisioning must reflect an unbiased, probability-weighted estimate of expected credit losses based on all relevant and available information about past events, current conditions, and reasonable and supportable forecasts of future economic conditions. Provisioning shall not be used to smooth earnings or to defer recognition of losses; provisions must reflect the Bank's best current estimate of expected credit losses at each reporting date.

7.13.2 ECL Model Governance

The Bank's Expected Credit Loss (ECL) models used for IFRS 9 provisioning are subject to the Model Risk Management Policy, which is a subordinate policy under Chapter 6. ECL models must be independently validated prior to initial use and at least every two years thereafter, with outputs reviewed quarterly by the Credit Analytics function and the Finance function. Material changes to ECL models require CCO and CFO approval and, where the change results in a material movement in total provisions, BRCC notification. All ECL model assumptions, including Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD) inputs, must be documented and subject to sensitivity testing at each quarterly provisioning review.

7.13.3 Management Overlay

Where the mechanistic ECL model output does not adequately capture known risks or where there is expert judgement that the model output understates or overstates expected losses, the Credit Analytics function may apply a management overlay adjustment. Management overlays must be: (i) documented with a clear basis for the adjustment; (ii) approved by the CCO and CFO; (iii) reported to the BRCC and external auditors; and (iv) reassessed at each subsequent quarterly provisioning review and released as soon as the conditions supporting the overlay no longer apply. Management overlays shall not be used to reduce provisions below the model output without compelling documented evidence.

7.13.4 Forward-Looking Information and Macroeconomic Scenarios

The Bank's ECL models shall incorporate forward-looking information, including macroeconomic scenarios, consistent with the requirements of IFRS 9. The macroeconomic scenarios used in provisioning shall be approved by the CCO and the Chief Risk Officer quarterly, shall include a base case, an upside, and a downside scenario with probability weights, and shall be developed in conjunction with the Bank's stress testing programme as described in Section 7.16. Scenarios used for provisioning shall be documented and disclosed in the Bank's financial statements and regulatory returns.

7.14 Write-Off Policy

7.14.1 Write-Off Policy Statement

A write-off is the recognition that all or a portion of a loan's carrying value is not recoverable and the derecognition of that amount from the Bank's balance sheet. Write-offs are accounting decisions and do not affect the legal enforceability of the underlying obligation. The Bank's policy is to write off loan exposures only when it has concluded, based on documented evidence and through the appropriate governance process, that there is no realistic prospect of recovery, and that continued recognition on the balance sheet would not provide meaningful information to users of the financial statements. Write-off decisions shall never be motivated by a desire to remove a problematic account from active management; all legally enforceable recovery obligations shall continue after write-off, under the post-write-off recovery programme of Section 7.15.

7.14.2 Write-Off Eligibility Criteria

A loan or portion thereof is eligible for write-off when one or more of the following conditions is met:

- (xciii) The borrower has been declared bankrupt, insolvent, or subject to equivalent insolvency proceedings and the expected distribution to the Bank is less than the net carrying value;
- (xciv) Legal recovery proceedings have been concluded and the final recovery has been less than the carrying amount;
- (xcv) Security has been realised and the shortfall cannot be recovered through further legal action within a reasonable timeframe;
- (xcvi) The statute of limitations for legal recovery has expired or is about to expire and no enforcement action has been taken that would preserve the Bank's legal position;
- (xcvii) The borrower is deceased and recovery from the estate is not achievable; or
- (xcviii) The cost of further recovery action is disproportionate to the expected recovery, based on documented assessment.

7.14.3 Write-Off Approval Authority

Write-Off Amount (Individual Exposure)	Approval Authority	Supporting Documentation Required
< USD 50,000	Head of Collections & Recoveries	Collections activity summary; recovery assessment; CCO notification
USD 50,000 – USD 500,000	Chief Credit Officer	Full Recovery Strategy document; legal assessment; HCR recommendation
USD 500,000 – USD 5M	Executive Credit Committee (ECC)	Credit Restructuring / Recovery file; legal opinion; provision history; ECC resolution
> USD 5M	Board Risk & Compliance Committee	Full ECC recommendation; external legal opinion where material; BRCC resolution; external auditor notification

Partial Write-Down	Same as above based on write-down amount	Additional documentation: basis for partial recovery estimate; post write-down monitoring plan
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7.14.4 Write-Off Documentation Standards

Every write-off decision must be supported by a documented Write-Off Memorandum that includes: (i) the full history of the account including origination, key events, and all collections and recovery actions taken; (ii) the basis for the write-off decision, referencing the eligibility criteria met; (iii) the current provision balance and the difference between provision and gross write-off; (iv) the legal position and any remaining enforcement options; (v) the post-write-off recovery plan; and (vi) the signatures of the approving authority. Write-Off Memoranda must be retained for a minimum of ten (10) years from the date of write-off.

7.15 Post Write-Off Recovery Management

7.15.1 Continuing Recovery Obligation

The act of writing off a loan does not extinguish the borrower's legal obligation to repay the debt unless the Bank has expressly released the borrower in writing or the debt has been extinguished by operation of law. The Bank shall maintain a systematic programme for the pursuit of post-write-off recoveries, proportionate to the estimated recovery potential of each written-off account. The Head of Collections & Recoveries is responsible for the post-write-off recovery programme and shall report recovery performance to the ECC monthly.

7.15.2 Post-Write-Off Account Management

Written-off accounts shall be maintained on a shadow ledger system (separate from the Bank's performing loan portfolio) managed by the Collections function. The shadow ledger shall record the original outstanding balance at write-off, cumulative recoveries, and net remaining balance. All post-write-off contact with borrowers, recovery activities, and receipts must be documented in the shadow ledger system. Cash received on written-off accounts shall be recorded as a recovery in the Bank's income statement in the period in which it is received.

The Collections function shall assess the recovery strategy for each written-off account at minimum annually, and shall close accounts from the shadow ledger only when: (i) the statute of limitations has expired; (ii) a formal legal release has been granted; (iii) full recovery has been achieved; or (iv) the CCO has determined that further pursuit is not cost-effective. Closure decisions must be documented and approved by the HCR.

7.15.3 Recovery Accounting and Reconciliation

All recoveries on written-off accounts must be reconciled monthly to the Finance function's records. The Finance function shall report total recoveries in the Bank's periodic financial results. Recoveries that result in an account being fully repaid shall be reported to the CCO and included in the ECC monthly report as a credit quality positive. The Write-Off and Recovery register, maintained by the Finance function, shall be subject to annual review by Internal Audit.

7.16 Portfolio Monitoring and Stress Testing

7.16.1 Portfolio Monitoring Framework

The Bank shall maintain continuous and comprehensive monitoring of the aggregate credit quality of its loan portfolio, in addition to the individual account monitoring requirements of the preceding Sections. Portfolio-level monitoring serves to: (i) identify emerging trends and sectoral or geographic concentrations of credit risk; (ii) assess whether aggregate portfolio performance remains within the risk appetite thresholds approved by the BRCC as specified in Chapter 3; (iii) provide early warning of systemic deterioration that may require portfolio-level management action; and (iv) support IFRS 9 provisioning with accurate and timely portfolio segmentation and ECL model inputs.

7.16.2 Mandatory Portfolio Monitoring Metrics

The Credit Analytics function shall calculate and report the following portfolio metrics monthly to the ECC and quarterly to the BRCC:

Metric	Definition	Risk Appetite Threshold (Illustrative)	Escalation if Breached
Portfolio at Risk 30+ (PAR 30)	Gross principal balance of loans DPD 30+ / Total gross loan portfolio	< 3.0%	ECC review; HCR action plan
Portfolio at Risk 90+ (PAR 90)	Gross principal balance of loans DPD 90+ / Total gross loan portfolio	< 1.5%	ECC and BRCC notification; CCO action plan
NPL Ratio	Total NPL balance / Total gross loan portfolio	< 2.0%	BRCC escalation; CCO recovery plan
NPL Coverage Ratio	Total impairment allowance / Total NPL balance	> 70%	CFO and CCO review; provisioning assessment
Stage 2 Ratio	Gross balance of Stage 2 exposures / Total gross loan portfolio	< 12%	ECC review; SICR methodology review
Cost of Risk	Net credit impairment charge / Average gross loan portfolio (annualised)	< 1.0%	ECC review; BRCC notification
Forbearance Rate	Gross balance of forbore exposures / Total gross loan portfolio	< 2.5%	ECC review; restructuring programme review
Write-Off Rate	Gross write-offs in period / Average gross loan portfolio (annualised)	< 0.5%	BRCC review; collections strategy review
Sector Concentration (single sector)	Gross exposure to any single industry sector / Total gross loan portfolio	< 25%	CRO and BRCC notification; concentration risk plan

Recovery Rate on NPLs	Cash recovered from NPL accounts in period / Opening NPL balance	> 25% per annum	HCR performance review; strategy revision
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7.16.3 Credit Portfolio Stress Testing

The Credit Analytics function, in conjunction with the Finance function and the CRO's risk modelling team, shall conduct credit portfolio stress tests at least semi-annually. Stress tests shall apply adverse macroeconomic and sector-level scenarios to the Bank's loan portfolio to estimate the potential impact on delinquency, NPL formation, provisioning requirements, and capital adequacy. Stress test scenarios shall be consistent with and complementary to the operational risk scenarios required by Chapter 6, Section 6.8.

Stress test results shall be presented to the ECC and BRCC. Where stress tests indicate that the portfolio's credit performance under a severe but plausible scenario would cause a breach of the Bank's regulatory capital requirements or would exhaust the Bank's provisioning headroom, a management action plan must be prepared by the CCO and submitted to the BRCC within thirty (30) days of the stress test completion.

7.16.4 Vintage Analysis and Roll-Rate Monitoring

The Credit Analytics function shall conduct monthly vintage analysis and roll-rate monitoring of the Bank's loan portfolio. Vintage analysis tracks the delinquency performance of loans originated in each cohort period to identify whether credit quality trends at origination are producing expected performance over time. Roll-rate monitoring tracks the migration of accounts between DPD buckets from one period to the next. Material adverse movements in roll-rates must be reported to the CCO within five (5) Business Days and must be included in the next ECC report. Where roll-rate analysis indicates a systemic deterioration in a specific product, segment, or geographic area, a formal root cause analysis must be conducted within thirty (30) days.

7.17 Use of Artificial Intelligence in Loan Monitoring & Collections

7.17.1 Foundational Policy Position

FOUNDATIONAL AI POLICY STATEMENT: Artificial intelligence systems, machine learning models, predictive analytics engines, and automated decision-support tools may be used by Stratum Capital Bank to enhance and support the efficiency and effectiveness of loan monitoring, early warning detection, delinquency management, and collections activities. AI systems shall not replace human judgement in any decision that materially affects a customer's credit status, payment obligations, forbearance eligibility, legal recovery action, write-off determination, or IFRS 9 classification. In all cases where an AI system influences such a decision, a qualified human decision-maker must independently assess the AI output, apply professional judgement, and retain and document personal accountability for the final decision. This principle is absolute and is not subject to exception. It is consistent with, and supplements, the enterprise-wide AI policy established in Chapter 6, Section 6.11.

7.17.2 Permitted AI Applications in Loan Monitoring and Collections

Subject to the foundational policy statement in Section 7.17.1 and the AI governance requirements of Chapter 6, Section 6.11, the following AI and advanced analytics applications are permitted within the loan monitoring and collections framework:

- (xcix) Predictive Early Warning Indicator Scoring: AI models may be used to generate predictive EWI scores that rank borrowers by estimated probability of delinquency based on behavioural, transactional, financial, and external data. Such scores must be presented to Relationship Officers and Credit Managers as analytical information requiring human assessment, not as determinations. EWI scores generated by AI are subject to the same escalation and response requirements as manual EWI triggers under Section 7.5;
- (c) Collections Propensity Scoring: AI models may be used to prioritise the collections workload by estimating the probability of recovery for each delinquent account and the likely effectiveness of different contact strategies. Propensity scores shall be used to assist Collections Officers in prioritising their activity and selecting appropriate engagement approaches; they shall not determine the collections action taken without human review;
- (ci) Portfolio-Level Trend Analysis: AI and machine learning techniques may be used to identify trends, anomalies, and emerging risk concentrations in the loan portfolio, including patterns of credit deterioration that may not be apparent from standard metrics. Outputs must be reviewed by the Credit Analytics function before inclusion in management reporting;
- (cii) Automated Payment Reminders and Routine Communications: Automated systems may generate and issue routine payment reminder communications of a factual nature, consistent with the communication standards of Section 7.8. Automated systems may not issue communications regarding legal action, security enforcement, hardship outcomes, restructuring terms, or write-off without human review and approval of each communication;
- (ciii) ECL Model Components: Machine learning techniques may form part of the ECL model components used for IFRS 9 provisioning, subject to the model governance requirements of Section 7.13.2 and Chapter 6, Section 6.11; and

- (civ) Natural Language Processing for Document Review: AI tools may assist in the review and analysis of loan documentation, security documentation, and borrower communications for completeness and consistency. Outputs of AI document review must be reviewed and confirmed by a qualified analyst before being relied upon for any credit decision.

7.17.3 Prohibited AI Applications

The following uses of AI or automated systems in loan monitoring and collections are explicitly prohibited:

- (cv) Automated determination of IFRS 9 Stage classification for individual accounts above USD 250,000 without human review and approval by a qualified Senior Credit Analyst;
- (cvi) Automated initiation of legal proceedings, security enforcement notices, or statutory demands without human review and explicit approval in each case;
- (cvii) Automated determination of hardship eligibility or automatic refusal of a hardship application without human assessment by the Credit Manager;
- (cviii) Automated write-off decisions for any exposure;
- (cix) AI-generated customer communications regarding debt collection that are not based on pre-approved templates reviewed by the Legal and Compliance functions; and
- (cx) Use of AI systems that have not been registered in the AI System Inventory and approved under the AI governance process of Chapter 6, Section 6.11.4.

7.17.4 AI Model Risk Management for Credit Applications

All AI models used in loan monitoring, EWI generation, collections prioritisation, or IFRS 9 ECL estimation shall be subject to the AI governance requirements of Chapter 6, Section 6.11, including risk tiering, registration, independent model validation, performance monitoring, and fairness assessment. The Credit Analytics function is the designated first-line owner of all AI models used in credit management and is responsible for ensuring that the performance and fairness of these models are monitored continuously.

Performance monitoring for AI models used in loan monitoring and collections shall include: accuracy of EWI predictions compared with subsequent actual delinquency outcomes; calibration of PD and LGD models against realised losses; fairness metrics disaggregated by customer demographic characteristics to identify potential discriminatory outcomes; and false positive and false negative rates in EWI generation. Performance degradation beyond approved thresholds shall trigger a mandatory model review and, pending review, increased human oversight of the model's outputs.

7.17.5 Human Oversight Documentation Requirement

Where a Relationship Officer, Credit Manager, or Collections Officer takes a credit management action (including EWI escalation, Watch List placement, restructuring recommendation, legal referral recommendation, or IFRS 9 staging assessment) that was informed or prompted by an AI system output, the Credit Management System record for that action must document: (i) that an AI system output was considered; (ii) the nature of the AI output; (iii) the human reviewer's independent assessment of the AI output; and (iv) whether the human reviewer agreed with or departed from the AI output, with brief documented rationale for

any departure. This documentation requirement is non-negotiable and failure to complete it shall be treated as a policy breach.

7.18 Regulatory Compliance and Responsible Lending

7.18.1 Regulatory Compliance Obligations

All activities governed by this Chapter are subject to the applicable laws, regulations, and regulatory guidance of each jurisdiction in which the Bank operates. The Compliance function maintains a regulatory compliance register specific to post-disbursement credit management, hardship assistance, and collections, which specifies the applicable obligations in each operating jurisdiction. The Compliance function shall conduct periodic compliance reviews of collections and recovery practices and shall report to the CCO and BRCC on compliance status.

Material regulatory requirements applicable to the Bank's post-disbursement loan management activities include, without limitation, and as may be supplemented or superseded by jurisdiction-specific requirements: consumer credit legislation and codes of practice in applicable jurisdictions; banking supervisory requirements on NPL management and provisioning (including EBA GL/2018/06); IFRS 9 and applicable tax rules on credit loss recognition; data protection legislation applicable to borrower data in collections; debt collection conduct regulations; and responsible lending obligations as enacted in applicable jurisdictions.

7.18.2 Responsible Lending Obligations in Collections

The Bank's responsible lending obligations do not end at the point of disbursement. The following responsible lending principles apply throughout the post-disbursement lifecycle:

- (cxi) The Bank shall at all times deal with borrowers in a fair, honest, and transparent manner, including during delinquency, collections, and recovery proceedings;
- (cxii) The Bank shall proactively offer hardship assistance information to all borrowers who are delinquent or who have identified financial difficulty, prior to escalating to legal recovery;
- (cxiii) The Bank shall not engage in collections practices that are unconscionable, abusive, misleading, or deceptive;
- (cxiv) The Bank shall make reasonable allowances for borrowers in vulnerable circumstances, as defined in Section 7.8.4;
- (cxv) The Bank shall accurately represent all amounts claimed from borrowers, including the basis for fees, interest, and costs, and shall not inflate or fabricate amounts claimed; and
- (cxvi) The Bank shall comply with all applicable statutory dispute resolution and complaint handling requirements in respect of collection activity, and shall not use complaint handling processes to delay legitimate regulatory oversight.

7.18.3 Complaints and Disputes in Collections

Where a borrower raises a complaint or dispute in respect of the Bank's collections or recovery activities, the following procedures apply: (i) the complaint must be recorded in the Bank's Complaints Management System within one (1) Business Day of receipt; (ii) collections escalation actions (including legal referral, security enforcement, and debt sale) shall be suspended in respect of the disputed amount pending resolution of the

complaint, unless the Compliance function determines that the complaint is manifestly without merit; (iii) the complaint must be investigated and a written response provided within the timeframes required by applicable law; and (iv) the outcome of the complaint must be recorded in the Credit Management System and reflected in the borrower's account record.

Patterns of complaints arising from a specific collections process, product, or TPCA must be reported to the Compliance function and the CCO within the month of identification. Systemic complaints issues must be reported to the BRCC.

7.19 Policy Exception Management

7.19.1 Exception Principles

This Chapter establishes mandatory minimum standards for the management of post-disbursement loans. The Bank recognises that exceptional circumstances may, in limited cases, make strict compliance with specific provisions impractical or create outcomes inconsistent with the policy's intent. A formal Policy Exception process is available to manage such circumstances. Exceptions shall be infrequent and shall not be used as a mechanism for avoiding compliance cost or effort. No exception may be granted in respect of provisions required by applicable law or binding regulatory obligation.

7.19.2 Exception Approval Matrix

Exception Type	Approval Authority	Maximum Duration	Reporting Requirement
Single account deviation from DPD transfer schedule (< USD 500K)	Credit Manager	30 days	Monthly ECC report
Single account deviation from communication timelines	Credit Manager	14 days	Monthly ECC report
Deviation from minimum RCSA or monitoring schedule (single BU)	CCO	60 days	ECC at next meeting
Deviation from IFRS 9 staging timeline (non-material)	CCO and CFO	30 days	Quarterly BRCC report; auditor notification
Deviation from write-off approval matrix	BRCC	N/A	BRCC resolution required; auditor notification
Jurisdictional variance from any provision	CCO + CRO	12 months	BRCC notification; regulatory notification if required

All exceptions must be documented on the Policy Exception Form, recorded in the central Exception Register maintained by the ORM function, and reported as specified in the matrix above. Exceptions that are not approved prior to the relevant action being taken shall be treated as Policy Breaches pursuant to Section 7.19.3.

7.19.3 Policy Breach Consequences

A Policy Breach is any failure to comply with a mandatory provision of this Chapter for which no valid Policy Exception has been granted. Policy Breaches must be recorded in the operational loss database pursuant to Chapter 6, Section 6.7.1. Material breaches—including unreported delinquent accounts, unauthorised restructurings, unauthorised deferrals, or failure to report material EWI triggers—must be escalated to the CCO within two (2) Business Days of identification. The CCO shall determine whether the breach warrants referral to the Compliance function, HR, or Internal Audit. All breaches shall be included in the quarterly credit management report to the BRCC.

7.20 Internal Audit, Assurance, and Review Requirements

7.20.1 Scope of Assurance

Internal Audit shall provide independent assurance to the Board Audit Committee and the BRCC on the design adequacy and operational effectiveness of the policies, governance structures, and controls established in this Chapter. The scope of Internal Audit's assurance programme in respect of this Chapter includes, but is not limited to: loan monitoring completeness and timeliness; EWI system effectiveness and response standards; Watch List management; delinquency classification accuracy; customer communication compliance; hardship assessment quality; restructuring governance; collections effectiveness and conduct; legal recovery authorisation; provisioning adequacy and IFRS 9 model governance; write-off authorisation and documentation; post-write-off recovery; portfolio monitoring and stress testing; AI model governance in credit management; and regulatory compliance in collections.

7.20.2 Minimum Audit Coverage

Internal Audit shall conduct, at minimum, the following reviews in each two-year audit cycle:

- (cxvii) A full thematic review of loan monitoring and Early Warning Indicator system effectiveness, including sample testing of EWI response quality across at least three business lines;
- (cxviii) A dedicated review of the NPL management and recovery process, including file review of a statistically representative sample of NPL accounts;
- (cxix) A review of provisioning governance, including assessment of ECL model validation, management overlay documentation, and IFRS 9 staging accuracy for a sample of Stage 2 and Stage 3 accounts;
- (cxx) A review of collections conduct, including assessment of compliance with communication standards, TPCA oversight, and regulatory obligations; and
- (cxxi) A review of write-off authorisation and documentation quality, including reconciliation of write-offs to the provision balance.

7.20.3 Audit Finding Escalation

Internal Audit findings classified as Critical or High must be reported by the Head of Internal Audit to the CCO within five (5) Business Days of report completion. Material findings that indicate systemic weaknesses in delinquency management, provisioning, or collections conduct must be reported to the BRCC at its next scheduled meeting. Management responses to all High and Critical findings must be agreed within twenty (20) Business Days of report issuance and are subject to independent validation by Internal Audit before the finding is marked as closed.

7.20.4 Continuous Monitoring and Data Analytics in Audit

Internal Audit shall utilise data analytics techniques to support continuous monitoring of credit management compliance, including: automated testing of DPD classification accuracy against source payment data;

monitoring of Watch List update frequency and completeness; review of EWI trigger generation and response timeliness; and analysis of provisioning movements for unusual patterns. Anomalies identified through continuous monitoring must be assessed by Internal Audit and, where material, reported to the CCO and the Board Audit Committee.

7.21 Policy Review and Maintenance

7.21.1 Annual Review Cycle

This Chapter shall be reviewed in full at minimum annually by the Chief Credit Officer in collaboration with the Head of Collections & Recoveries, the Compliance function, the Credit Analytics function, and the Finance function. The annual review shall incorporate: an assessment of the continued adequacy and relevance of all provisions; alignment with any changes in regulatory requirements since the prior review; lessons learned from material credit events, Internal Audit findings, and regulatory feedback; review of risk appetite thresholds in Section 7.16.2 for continued alignment with Chapter 3; and assessment of the adequacy of the AI governance provisions in Section 7.17 in light of changes in AI system usage and regulatory developments. Revised versions of this Chapter must be approved by the BRCC before they take effect.

7.21.2 Triggered Review Events

In addition to the annual review cycle, a triggered review shall be conducted upon any of the following: (i) a material change in applicable law or regulatory guidance governing collections, provisioning, or NPL management; (ii) a material adverse movement in portfolio credit quality that reveals a gap in the existing policy framework; (iii) a material Internal Audit finding recommending policy amendment; (iv) a regulatory supervisory finding or direction relating to credit management; or (v) a Board or senior management decision to material change the Bank's credit risk strategy or risk appetite. Triggered reviews may result in targeted amendments to specific provisions; such amendments must be approved by the CCO and, where material, by the BRCC.

7.21.3 Version Control and Record Retention

All versions of this Chapter shall be maintained in the Bank's Policy Management System with full version history. The current version is the version most recently approved by the BRCC. Superseded versions shall be retained for a minimum of ten (10) years. Interim policy guidance issued by the CCO between formal review cycles must be recorded in the Policy Management System and incorporated into the next formal review. Employees are responsible for ensuring they are working from the current approved version of this Chapter; the ORM function shall notify all relevant functions whenever a new version of this Chapter is approved and made effective.

APPENDIX A — Delinquency Bucket Classification Reference Table

The following table provides the authoritative reference for the Bank's delinquency bucket classifications, aligned with regulatory reporting, IFRS 9 staging, and internal credit classification. This table must be used consistently across all reporting, provisioning, and management information systems. Inconsistency between classification systems must be reported to the CCO and rectified within ten (10) Business Days.

DPD Range	Internal Classification	IFRS 9 Stage	Regulatory NPL Status	Minimum Monitoring Intensity	Provisioning Basis
DPD 0	Pass	Stage 1	Performing	MIL 1	12-Month ECL
DPD 1–14	Pass / Watch	Stage 1	Performing	MIL 1/2	12-Month ECL; SICR assessment if repeated
DPD 15–29	Special Mention	Stage 1/2	Performing	MIL 2	12-Month or Lifetime ECL (SICR assessment required)
DPD 30–59	Substandard	Stage 2	Performing	MIL 3	Lifetime ECL
DPD 60–89	Substandard	Stage 2	Performing	MIL 3	Lifetime ECL (elevated)
DPD 90–179	Doubtful	Stage 3	Non-Performing (NPL)	MIL 4	Lifetime ECL net of recovery; interest suspended on gross amount
DPD 180–364	Loss	Stage 3	Non-Performing (NPL)	MIL 4	Near full impairment; write-off assessment required
DPD 365+	Loss / Write-Off	Stage 3	Non-Performing (NPL)	MIL 4	Write-off unless specific recovery strategy approved by ECC

Notes: (1) DPD counts are not reset by partial payments. (2) Classification may be more severe than DPD suggests where qualitative criteria are met per Section 7.7. (3) IFRS 9 staging is determined by SICR analysis in addition to DPD; Stage 2 may apply from DPD 0 where SICR criteria are met. (4) NPL pull-through policy applies per Section 7.7.3.

APPENDIX B — Early Warning Indicator Master Register (Summary)

The complete EWI Master Register is maintained in the Credit Management System and is updated by the Credit Risk function with CCO approval. The following table provides a summary of the primary EWI categories, thresholds, and response actions. Business lines may propose additional EWIs relevant to their specific portfolios for CCO approval; approved additions must be recorded in the full EWI Master Register.

EWI Code	EWI Name	Category	Amber Threshold	Red Threshold	Minimum Response (Amber)	Minimum Response (Red)
EWI-F01	Revenue Decline	Financial	> 10% YoY decline	> 20% YoY decline	Credit Manager review; updated financials	MIL 3; Watch List; SICR assessment
EWI-F02	DSCR Deterioration	Financial	DSCR 1.0x – 1.25x	DSCR < 1.0x	Credit Manager review	MIL 3; Watch List; provision review
EWI-P01	Missed Payment	Payment	DPD 1–14	DPD 15+	RO contact within 2 days	Collections referral; Credit Manager review
EWI-P02	Partial Payment	Payment	Any partial payment	Repeated (≥ 2 months)	RO contact; document reason	Watch List nomination; hardship assessment
EWI-B01	Deposit Drawdown	Banking	Balance reduction > 30%	Balance reduction > 50%	RO enquiry; account review	Credit Manager review; facility review
EWI-B02	Returned Payment	Banking	1 returned payment	2+ returned payments	RO contact; document	Collections; Credit Manager escalation
EWI-O01	Key Person Departure	Operational	1 director departure	CEO / CFO departure	Credit Manager review; borrower meeting	MIL 3; Watch List; updated credit assessment
EWI-O02	Material Litigation	Operational	Claim < 10% net assets	Claim > 10% net assets	Legal review; Credit Manager notification	MIL 4; Watch List; legal advice
EWI-C01	LTV Approach Threshold	Collateral	LTV within 5% of limit	LTV breach of limit	Collateral review; top-up request	Formal demand; collateral remediation plan

EWI-E01	Credit Rating Downgrade	External	1-notch downgrade	> 1-notch downgrade	Credit Manager review	MIL 3; Watch List; full credit review
EWI-M01	Adverse Sector Trend	Macro	Moderate sector stress	Severe sector stress	Portfolio sector review	Individual stress test; provisioning review

APPENDIX C — Restructuring Options Decision Matrix

The following matrix provides guidance for selecting the most appropriate restructuring option based on the borrower's circumstances. The matrix is a decision-support tool and does not replace the professional judgement of the Credit Manager or CCO. All restructuring decisions must follow the approval authority matrix in Section 7.10.3.

Borrower Circumstance	Recommended Option(s)	Conditions Required	Forborne Classification
Temporary income disruption; short-term (< 3 months); strong historical performance	Payment Deferral; Temporary Reduced Payment	Evidence of temporary nature; projected cash flow recovery; no adverse EWIs beyond payment miss	Yes — forborne; Stage 2 review
Extended income reduction; medium-term (3–12 months); viable ongoing business	Interest-Only Period; Term Extension	Updated income / business assessment; projected recovery within 12 months; clean prior payment history	Yes — forborne; Stage 2; enhanced monitoring
Structural financial difficulty; long-term viability in question; ongoing operations	Loan Consolidation; Full Restructuring; possible principal reduction	Independent viability assessment; updated security valuation; NPV analysis vs enforcement; ECC approval	Yes — forborne; Stage 3 review; provisioning assessment
Borrower in severe distress; questionable viability; limited recovery prospects	Security enforcement; legal recovery; debt sale; partial write-down combined with restructure	Legal advice; updated security valuation; BRCC approval for any write-down; regulatory notification	Yes — forborne if restructured; Stage 3; near-full provision
Retail borrower; temporary hardship event; positive engagement	Payment Deferral; Reduced Payment Plan; fee waiver	Hardship assessment; income verification; evidence of hardship event	Yes if below contractual minimum — forborne; Stage 2

APPENDIX D — Collections Activity Log and Documentation Standards

Every Collections Officer must maintain a current and complete Collections Activity Log for each account under management in the Credit Management System. The following standards apply to activity log entries.

Log Field	Required Content	Mandatory?	Retention Period
Date and Time of Activity	Exact date and time of each contact or activity	Yes	7 years from last entry
Contact Method	Telephone; in-person; email; SMS; written; field visit; legal	Yes	7 years
Contact Outcome	Contact made / no contact / message left / number disconnected / represented by legal adviser	Yes	7 years
Summary of Communication	Summary of what was discussed or communicated; any commitments made by borrower or Bank	Yes	7 years
AI Assistance Used?	Whether AI propensity score or EWI model output informed the contact; AI output noted	Yes (if AI used)	7 years
Human Assessment of AI Output	Collections Officer's independent assessment of AI output and any departure from AI recommendation	Yes (if AI used)	7 years
Action Agreed or Planned	Agreed payment; referral decision; escalation; next contact date; legal action authorised	Yes	7 years
Authorisation Reference	Reference to Credit Manager or HCR approval for any action requiring approval	Yes (where applicable)	7 years
Complaint or Dispute Noted	Whether borrower raised a complaint or dispute during contact; complaint reference number	Yes (if applicable)	7 years
Vulnerable Customer Flag	Whether vulnerability indicators were identified; action taken to adjust approach	Yes (if applicable)	7 years

Role	Name	Signature	Date
Chief Credit Officer (Policy Owner)	[CCO Name]	_____	_____
Head of Collections & Recoveries (Co-Owner)	[HCR Name]	_____	_____
Chief Risk Officer (Reviewer)	[CRO Name]	_____	_____
Chief Compliance Officer (Reviewer)	[CCO-C Name]	_____	_____
Head of Finance (Reviewer — IFRS 9 provisions)	[CFO Name]	_____	_____

Head of Internal Audit (Reviewer)	[IA Head Name]		
Board Risk & Compliance Committee Chairman	[BRCC Chair]		

— END OF CHAPTER 7 —

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